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COMMERCE



India expands its e-commerce crackdown with a new \$200M case against Walmart's fashion arm Myntra



India's financial crime watchdog has filed a complaint against Walmart-backed fashion e-commerce giant Myntra, alleging the company violated foreign investment rules by channeling over \$191 million through a related-party scheme that disguised retail operations as wholesale trade.

This complaint marks the latest move in a broader crackdown by Indian authorities, which previously targeted Amazon and Flipkart.

On Wednesday, the Enforcement Directorate said the Bengaluru-based fashion e-commerce firm violated the Foreign Exchange Management Act, known as FEMA, by engaging in multi-brand retail trading "under the guise of wholesale cash and carry," utilizing a related entity, Vector E-Commerce, as an intermediary to route retail sales through a wholesale structure.

India restricts foreign companies engaged in wholesale business from making direct sales to consumers in an effort to protect local retailers. The law also limits sales to related group companies to a maximum of 25%.

Myntra failed to meet the conditions for operating as a wholesale or cash-and-carry business, as all of its sales were made exclusively to Vector E-Commerce, the agency [stated](#) (PDF).

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The agency filed the complaint against Myntra, its related companies, and their directors under section 16(3) of the FEMA, 1999.

Myntra [controls around half](#) of the country's overall fashion e-commerce market. The company is also gradually [expanding its quick-commerce service](#) and broadening its reach in high-growth categories, including home and living, as well as beauty. The company is also [testing the waters in social commerce](#) by partnering with celebrities and bringing on micro-influencers, taking on the likes of Instagram, YouTube, and Amazon's Live.

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The complaint comes as Indian officials [hold talks with the Trump administration](#) over a potential trade deal with the United States.

The Modi government in New Delhi is reportedly [under pressure from the Trump administration](#) to grant Amazon and Walmart-owned Flipkart full access to its \$125 billion e-commerce market. The Modi government has long been [expected to](#)

[release its e-commerce policy](#), but sources previously told TechCrunch that it has been on the back burner, as officials are cautious not to strain relations with the U.S. government.

Nonetheless, Amazon and Flipkart have previously faced investigations by Indian agencies, including the Enforcement Directorate. One of the recent major actions against the two companies was reportedly a [raid by the federal agency in November on the offices of some of their sellers](#), who are accused of violating the country's foreign investment rules. In April, the agency also [privately sought sales data and other documents](#) from smartphone vendors, including Apple and Xiaomi, as part of its probe into Amazon and Flipkart.

Responding to the latest action, Myntra stated that it had not received a copy of the complaint and supporting documents from the authorities but remained “fully committed to cooperating with them at any point of time.”

“At Myntra, we are deeply committed to upholding all applicable laws of the land and operating with the highest standards of compliance and integrity,” a company spokesperson said.

Founded in 2007, Myntra was [acquired by the Indian e-commerce giant Flipkart](#) in 2014 and was later bought by Walmart [as part of Flipkart's \\$1.6 billion acquisition](#) in 2018.

When contacted, a Walmart spokesperson pointed to the statement issued by Myntra.

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# India's Flipkart Nears \$330M Myntra Deal, As Common Investors Push To Fight Amazon, eBay

Pankaj Mishra — 12:06 AM PDT · April 9, 2014

India's biggest e-commerce company, [Flipkart](#), is in the final stages of completing a merger deal with the country's fast growing online fashion retailer [Myntra](#), in what could potentially create a much stronger entity for fending off aggressive rivals Amazon, Walmart and the eBay-backed Snapdeal.

At least three people directly familiar with ongoing talks said the Myntra board started taking investors' approvals for the sale in March. The deal values Myntra at around \$330 million. Flipkart has been valued at around \$2.5 billion in this transaction, according to one of the persons.

"Flipkart is registered in Singapore and Myntra is completely based here — that's creating some

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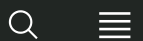
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Flipkart and Myntra had started merger talks in January this year, [as this Times of India story mentioned](#). Later, the talks slowed after Myntra founders and the board preferred to invest in their own growth story by [raising a fresh \\$50 million funding](#), and did not pursue the merger offer from Flipkart.



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But their common investors Accel Partners and Tiger Global did not give up. The stakes are too high for them, especially with Amazon beginning to build pressure through its online marketplace model and [Walmart preparing its e-commerce foray in India](#). Moreover, online fashion buying is a category where Flipkart can use Myntra for widening its gap over everybody else.

Indeed, India's online fashion retailing, a category led by Myntra, has been growing at a scorching pace, nearly doubling in value from \$278 million in 2012 to \$559 million in 2013.

After [Flipkart achieved \\$1 billion in annual GMV](#) earlier than forecasted, the online retailer has looked more aggressive to pursue bigger acquisitions. Sachin Bansal and Binny Bansal, the former Amazon employees who founded Flipkart in 2007, said this reflected 100x growth since March 2011 when the company was doing around \$10 million in GMV.

"With this scale, we are in a much better position this year to explore acquisitions across the areas

we have identified,” Binny had said in an interview then.

Both Flipkart and Myntra are among the most funded e-commerce startups in India. Flipkart has raised \$540 million so far from investors including Accel, Tiger, Dragoneer Investment Group and Morgan Stanley Investment Management. In October last year, it raised \$160 million, taking its Series E funding to be [the largest ever by any Indian Internet company](#).

In January this year, [Myntra closed a \\$50 million round](#) with four main investors: PremjiInvest, Belgian-based Sofina, Accel and Tiger Global, taking the total capital raised to \$125 million to date.

Myntra is on track to have gross merchandise value — the total value of goods sold via Myntra’s portal — of \$100 million for the current fiscal year. But it has been growing at a rapid rate. In [April 2013](#) the rate was 100% every six months, and Myntra believes that GMV will be \$1 billion by 2016.

If the deal goes through, PremjiInvest, the investment vehicle of the family of Azim Premji, with a fund size of approximately \$2 billion, will see its around \$25 million investment more than double in just two months.

India’s e-commerce market is projected to grow sevenfold to \$22 billion in the next five years, as Internet infrastructure improves further, making it easier for the country’s nearly 200 million online population to shop on-the-go. The country’s e-commerce market (sans travel sites) is currently worth \$3.1 billion annually — just 1.5% of the value of China’s e-commerce sales, which are approaching \$200 billion.



As we wrote this piece last month based on [a report from Accel Partners](#), women shoppers, increasing mobile phone penetration and online fashion are among top drivers for setting the country's e-commerce segment on fire.

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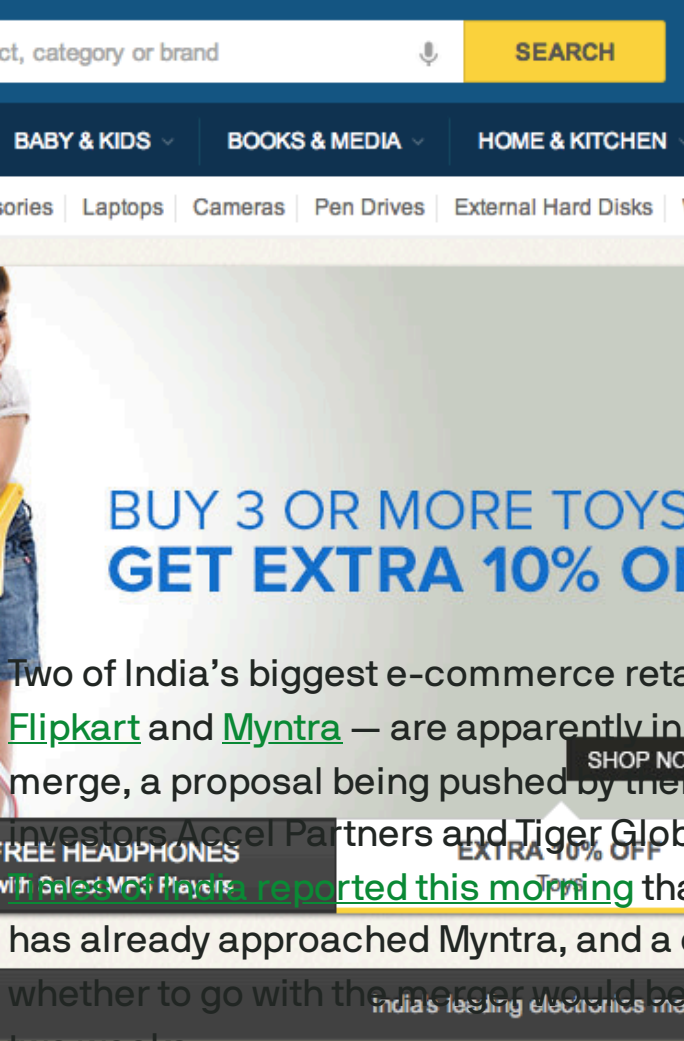
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India's Flipkart In Merger Talks With Fashion Retailer Myntra, As



# Common Investors Push For Consolidation

Pankaj Mishra — 7:02 PM PST · January 29, 2014

Two of India's biggest e-commerce retailers — [Flipkart](#) and [Myntra](#) — are apparently in talks to merge, a proposal being pushed by their common investors Accel Partners and Tiger Global. [The Times of India reported this morning](#) that Flipkart has already approached Myntra, and a decision on whether to go with the merger would be taken in two weeks.

Flipkart has been looking to expand in newer categories such as fashion retailing, its co-founder Binny Bansal had told me recently. By merging with Myntra, Flipkart can add another category, and also widen the gap with everybody else even further. Flipkart is aiming to achieve \$1 billion in gross merchandise value by next year.

Flipkart has raised \$540 million so far from investors including Accel, Tiger, Dragoneer Investment Group and Morgan Stanley Investment Management. In October last year, it raised \$160 million, taking its Series E funding to be [the largest ever by any Indian Internet company](#).

India's nearly \$3.1 billion e-commerce market (excluding online travel industry) is dwarfed in size by China's nearly \$200 billion market for online sales, but it's expected to grow by over seven times to \$22 billion in five years, according to a [CLSA](#) report published in November 2013.

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Myntra, one of India's biggest online clothing and footwear retailers, has

been in discussions with several investors to raise around \$50 million, sources are telling us. These discussions included a proposal to merge with Flipkart or acquire another e-commerce company to gain certain size, but nothing has been finalized yet, the source added.

Clearly, the signs of consolidation are very visible in India's e-commerce sector. An intense battle for market share is being fought among Flipkart, eBay-backed [Snapdeal](#) and Amazon. A lot is riding for investors backing Flipkart, so any proposals that help it garner a larger share of the market cannot be ruled out.

We have reached out to Flipkart, Myntra and their investors for reactions and we will update after hearing from them.



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